

MASENO 2025 KCSE PREDICTION

CONFIDENTIAL EXAM

565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

Instructions to Candidates

- a) Write your name and Admission number in the spaces provided above.
- b) Sign and write the date of examination in the spaces provided above
- c) Answer **ALL** the questions in the spaces provided below each question.
- d) All your answers must be written in English.

For Examiner's Use Only

QUESTION	1	2	3	4	5	6	7	8	9	10	11	12	13
Candidate Score													

QUESTION	14	15	16	17	18	19	20	21	22	23	24	5
Candidate Score												

1. Name the **internal environment** described by the following statements. (4 marks)

Description	Type of Internal Environment
a) Allows duties to be allocated to the right people thus resulting in higher productivity.	
b) Helps the business achieve its objectives e.g. higher production level of goods and services.	
c) Makes employees to acquire norms and code of conduct that is acceptable to all.	
d) Level of knowledge of the entrepreneur	

2. State **four** reasons why choice should be made in satisfying human wants. (4 marks)

.....

.....

.....

.....

.....

3. You have been charged with a duty of preparing an Article of Association for your company. State **four** items that you will include in your Article of Association. (4 marks)

.....

.....

.....

.....

4. State **four** reasons why consumers need protection from unscrupulous traders. (4 marks)

.....

.....

.....

.....

.....

5. Highlight **four** contents of a cover note.

(4 marks)

.....

6. State the **books of original** entry in which each of the following transactions would be recorded.

(4 marks)

	Transactions	Books of original entry
a)	Bought a machinery on credit	
b)	Received sh. 40,000 from Mweni a debtor	
c)	Sold goods worth sh. 20,000 on credit to Salama	
d)	Returned goods previously bought on credit to Wainaina	

7. The following information relates to commodity 'X'.

Year **Price (shs)**

2010 450

2014 675

➤ Calculate the consumer price index.

(3 marks)

➤ Comment on your answer.

(1 mark)

.....

8. State **four** benefits that consumers get from warehousing.

(4 marks)

.....

9. The following information relates to Kitui Traders for the year 2013.

Turn over Sh. 270,000

Margin 40%

Rate of turnover 6 times

Expenses Sh. 40,000

From the information given above, Calculate:-

c) Net profit. (2 marks)

d) Average stock (2 marks)

10. Outline **four** differences between perfect competition and monopoly. (4 marks)

Perfect competition	Monopoly
(a)	
(b)	
(c)	
(d)	

11. Outline **four** features of an economic union level of economic integration. (4 marks)

.....

.....

.....

.....

12. Highlight **four** monetary tools that may be employed by the government to increase the amount of money in circulation. (4 marks)

.....
.....
.....
.....

13. State **four** ways of creating the utility of goods and services. (4 marks)

.....
.....
.....
.....
.....

14. Outline **four** sources of business idea. (4 marks)

.....
.....
.....
.....

15. State whether the tax described below is **direct** or **indirect** (4 marks)

- a) Stamp duty
- b) Wealth tax
- c) Excise duty
- d) Value added tax

16. Outline **four** current trends in the road transport in Kenya today. (4 marks)

.....
.....

.....

.....

17. State **four** negative implications of production activities on the community. (4 marks)

.....

.....

.....

.....

.....

18. Give any **four** causes of changes in asset stock. (4 marks)

.....

.....

.....

.....

19. State **four** benefits a trader may get by advertising products using posters. (4 marks)

.....

.....

.....

.....

20. Outline **four** goals of development. (4 marks)

.....

.....

.....

.....

21. A business enterprise had a cash balance of 50,000 and overdraft of sh 15,000 on 1st June 2007.

The following transactions were conducted.

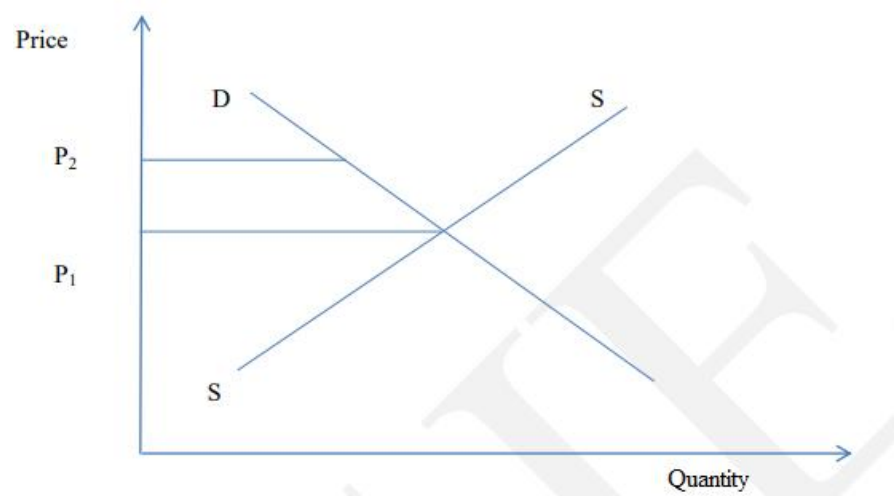
June 2, A debtor paid sh 40,000 by cheques

June 10, The business bought stock sh 10,000 in cash and paid a creditor sh. 5,000 by cheque

June 15, Sold goods sh 30,000 cash.

Required: Prepare a two column cash book. **(4 marks)**

22. The diagram below represents the demand and supply of bananas in the local market.



Highlight **four** consequences of selling the bananas at price P_2 . **(4 marks)**

.....

.....

.....
.....
.....

23. Outline **four** circumstances under which one may use signs in communication. (4 marks)

.....
.....
.....
.....
.....
.....

24. State **four** circumstances under which a business organization may decide to dispose off a machine. (4 marks)

.....
.....
.....
.....
.....

25. Omamo bought goods worth Sh. 100,000 from Jabali Traders on 2nd January 2022. He was given 5% trade discount and a cash discount as follows; 2% if payment is made within 30 days, 5% if payment is made within 15 days and 10% if payment is made within 10 days.

Calculate the amount he will pay after a fortnight. (4 marks)